

Copilot: Microsoft's Paradox

Why Microsoft is losing the AI race and what they can do about it

The Question

Microsoft has unmatched distribution. Copilot ships inside every Windows device, every Office app, every Edge browser.

So why are users still opening a new tab and going to ChatGPT, Claude, Gemini or even Grok instead?



The Data

1.1%

Global AI web traffic share
(March 2026 — last place)

35.8%

Copilot workplace
conversion rate

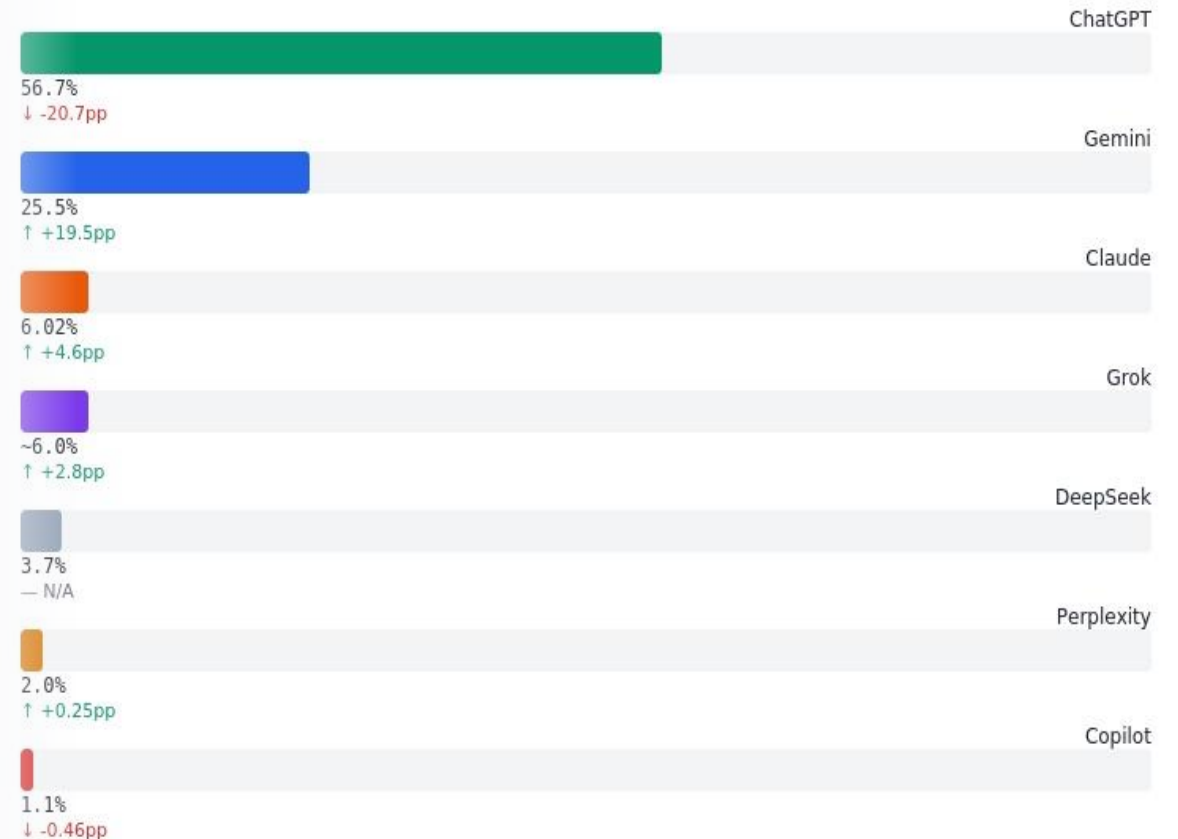
83.1%

ChatGPT workplace
conversion rate

Nearly two thirds of employees with access to Copilot actively choose not to use it. The conversion gap versus ChatGPT is 47 percentage points.

Generative AI Platform Market Share

Web traffic share · Similarweb via Rihard Jarc · March 2026



Microsoft's Paradox: Copilot ranks last at 1.1% despite being embedded across Windows, Edge, and Microsoft 365 — the broadest AI distribution network in the industry. Perplexity, a startup with no comparable reach, holds nearly double its share.

The Hypothesis

This is not a model problem.

Microsoft 365 Copilot runs GPT-5.4 — the same model family powering ChatGPT.

The gap is not technical. It is strategic.



Root Cause Analysis — The 5 Whys

Why 1

Users are not choosing Copilot despite it being everywhere.

Why 2

They do not trust it — NPS of -19.8.

Why 3

Microsoft prioritised enterprise compliance over user experience.

Why 4

Copilot was built as a productivity layer, not a standalone AI product.

Root Cause

Microsoft lacked the AI expertise to compete, so they chose integration over competition.

The essence of the paradox

Microsoft's own consumer terms describe Copilot as being for "entertainment purposes only" and warn users not to rely on it for important advice.

Simultaneously, Microsoft markets Copilot as an indispensable workplace tool.

That contradiction is not invisible to users.

Build / Buy / Partner

Build

Ruled Out

Cortana already proved Microsoft cannot build a competitive AI product from scratch.

Buy

Viable

Acquiring a model lab like Mistral AI brings independent capability in-house but conflicts with the existing OpenAI relationship.

Partner

Recommended

Diversify the model stack beyond OpenAI to reduce dependence on a company increasingly competing with Copilot directly.

The Obvious Objection

Why not just deepen the OpenAI partnership?

The problem is not access — it is dependence. Microsoft currently funds and powers its own competition.

Every new ChatGPT feature (desktop app, memory, deep research) is a direct competitor to a Copilot feature.

Doubling down on the same partnership that produced 1.1% market share does not fix the root cause. It entrenches it.

The Recommendation

Primary Action

Partner with Mistral AI — a fully independent European frontier model lab with no existing relationship with Google or Amazon, giving Microsoft a genuinely differentiated model stack, or any other similarly capable AI startup.

Supporting Action

Selectively acquire a smaller AI research team to bring independent model capability in-house over time.

The core question: Is Copilot an AI product that integrates with Office, or an Office feature that uses AI? Right now it is the latter. To compete, it needs to become the former.